into Gujarat International Finance Tec-City (GIFT-City), so the proposed solution is to force overseas Nifty derivatives activity to go into GIFT-City.

Demands for state coercion come from the private sector also. The private sector is comfortable with a government that interferes. The standard procedure for gaining competitive advantage is to try to obtain government coercion against rivals. This perhaps reflects the long history of Indian socialism. Firms have developed capabilities in competing through manipulation of the policy process, instead of developing superior products.

The trigger-happy approach to coercing private persons needs to change, for India to develop a healthy state. The bar of evidence and argument that is required before the state coerces a private person should be set very high. This reflects a Hippocratic oath of public policy: We should have strong foundations of evidence and analysis before we harm certain persons.

A key element of doing better, when compared with gratuitous state intervention, is to require demonstration of harm. In our policy discourse, we should demand proof of harm before state intervention is contemplated. When a government intervenes in the absence of demonstrated harm, this is likely to reflect mere political lobbying by one special interest group or another.

Our weary belief is that the outcome of every policy intervention will surprise us. We should be mindful of our limitations in re-engineering society, and crossing the river by feeling the stones. [1] 'Make haste slowly' is thus a good rule when thinking about structural change in the economy.

Respecting individuals and avoiding social engineering have value in and of themselves. No one person should impose a value system upon other persons. In addition, social engineering is fraught with difficulty. We do not know enough to be successful social engineers. If we bumble about, interfering in a machinery that we only dimly understand, we will often make things worse. The Hippocratic oath, when applied into the world of public policy, translates into eschewing social engineering.

We should move fairly briskly on modifications *of the state apparatus*, engaged in the routine management process of understanding areas of